A long-term investor who has been investing for over a decade in the markets decided to redeem most of his investments at the end of March 2020 because he felt the Covid-19-induced lockdowns were the end of markets as he knew them. A retired school teacher who had never invested before decided to put all her money in the stock markets earlier this year because someone told her the cooperative bank where she had parked her money was unsafe.

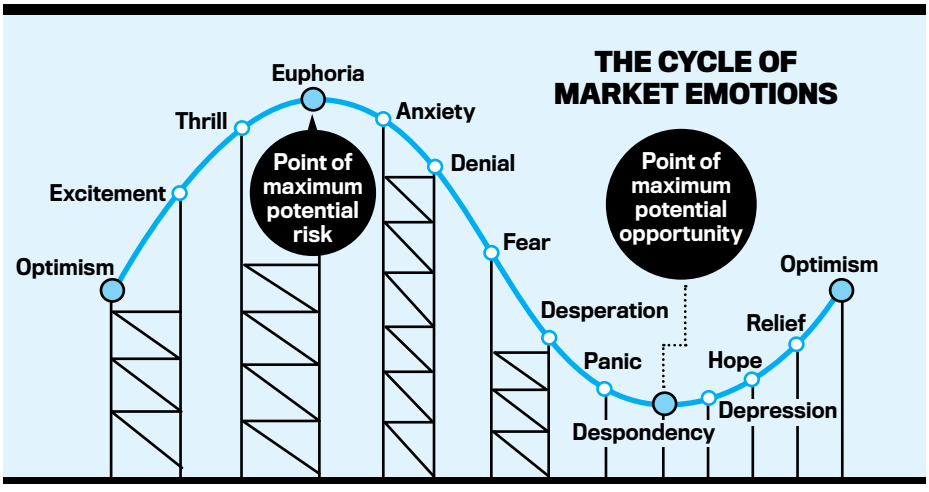
Why do investors behave as they do? Investor behaviour often deviates from logic and reason. A lot goes into individual decision-making—emotions, our personality, past experience and biases. Even for returns-obsessed investors, decisions on where and how they invest involve a lot more than just numbers. The human mind is biologically incapable of complete objectivity. A large part of investing involves individual behaviour, which in turn depends on investor emotions and beliefs. For instance, we are all attracted to the stock markets after they go up significantly and also after chatter comes from unexpected sources.

According to William Bernstein, an American neurologist and investment author, we like looking for established patterns even when we know that finance is statistically quite unpredictable. He says there is a part of our brain that makes us invest based on past information. It is for this reason that even though the younger generation is likely to make independent life choices, they often tend to follow investment patterns followed by their parents. It is also why a risk-taking, career-hopping youngster invests conservatively in fixed return instruments when you expect them to consider equity investing.

When your investments grow, your confidence goes up. You don't know exactly when the market cycle will peak, so the happiness continues as long as the markets keep rising. During this phase, one tends to be oblivious of one's risk-taking ability and bask in the euphoria of gains, when they should actually be worrying over the risks in their investments phase (see *The Cycle of Market Emotions*). A similar story holds when the markets start to go down. Your confidence dips as your investments crash and you reach a point of gloom not knowing when you will hit bottom. But actually, the bottom is the best point to invest as it provides an opportunity to ride the upcycle and gain significantly.

Irrational action is commonplace when investing, but you can avoid it. One way to know that the investment decisions you make are in your best interest is by understanding your own biases. And then seek help from others, use data and take time to reflect before making a decision to become a better investor.

By avoiding behavioural biases, you can make better financial decisions. So, keep your emotions in check. It seems easier said than done, but keeping your emotions in check will lead to personal investment success. There are numerous examples to demonstrate decisions driven by behaviour, but here we capture eight common ones faced by most investors:




*Graphics by* TANMOY CHAKRABORTY

## ↘ FEAR OF LOSSES

Nobody likes to lose. People have a tendency to be more sensitive about losses than be happy about gains. An erosion of Rs 1,000 in the value of one's investment portfolio affects investors more than a gain of Rs 1,000. The resultant fear is why people often stay away from investing in instruments such as equities where the probability of loss and gain are the same.

Take the way the S&P BSE Sensex moved in 2020. On January 1, the Sensex touched 41,306 points, when news around Covid-19 was yet to spread. The index kept fluctuating most of the year below its January 1 level and dipped to 25,981 (the lowest it dropped to) on March 23 after the lockdown announcements—a fall of 37 per cent. It regained its January 1 level only on November 5, 2020 and closed the year at 47,751 points—at a decent gain of 15.6 per cent.

Every investor wishes to make quick profits, which is often possible during a